



Aberdeen *Group*

The Strategic Enterprise IT Budget Realities Benchmark Report

Breaking TCO Gridlock

October 2004

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Executive Summary

This report analyzes IT budget and spending trends. Many organizations manage their IT infrastructure as a cost center, separating their IT investment from investments in production capabilities. As a result, the fiscal discipline that the organization uses to manage its investment in production capacity, which could also enhance the productivity of the IT infrastructure, is rarely applied, and the consequent benefits are rarely realized. Most organizations have effective investment and cost mechanisms in place for facilities directly affecting production, but in very few cases are these mechanisms applied to the organization's computing resource.

Key Business Value Findings

Surprisingly, while most organizations focus on controlling IT infrastructure cost, few organizations have an effective cost control regimen for their IT resource. They curtail investment, reduce staff, expect productivity increases, presume successful consolidation, or explore outsourcing or off-shoring, and yet do little to effectively understand either their IT infrastructure's current cost structure or the end user's actual requirements and priorities for IT support.

Implications & Analysis

As a result, enterprises generally sub-optimize their IT investment. Existing capabilities are under-utilized, cost trade-offs unwittingly sacrifice important user requirements, and when investments are made they miss the mark. Such factors leave Aberdeen to conservatively estimate that ***industry is wasting between 15 and 25 percent of its IT investment.***

Recommendations for Action

- Adopt service-level objectives as a mechanism for IT cost recovery and funding.
- Benchmark IT efficiency to develop a better understanding of the IT cost structure.
- Explore strategic outsourcing to off-load inefficient or low-value-add IT operations.
- Adopt consistent, firm-wide, business relevant financial metrics to gauge IT costs and value.
- Centralize IT spending under joint governance led by end user organizations.
- Consolidate data centers; reduce footprints through partitioning, grid, or utility computing technology; consolidate workloads to reduce systems management, security, and operational overhead; and reduce the number of instances of applications or data items.



Table of Contents

Executive Summary	i
Key Business Value Findings.....	i
Implications & Analysis	i
Recommendations for Action	i
<i>Chapter One: Issue at Hand</i>	1
<i>Chapter Two: Key Business Value Findings</i>	4
Outsourcing and off-shoring may not resolve cost or customer issues.....	6
<i>Chapter Three: Implications & Analysis</i>	7
Process and Organization	10
Technology Usage (Industry “Ah-ha”)	10
Leading organizations measure their processes continuously	12
Pressures, Actions, Capabilities, Enablers (PACE).....	14
<i>Chapter Four: Recommendations for Action</i>	17
Laggard Steps to Success.....	17
Industry Norm Steps to Success	19
Best in Class Next Steps	19
Featured Sponsors.....	21
Sponsor Directory	23
Author Profile	24
<i>Appendix A: Research Methodology</i>	25
<i>Appendix B: Related Aberdeen Research & Tools</i>	28
About Aberdeen Group	29



Figures

Figure 1: Overall Pressures Requiring IT Budget Attention	2
Figure 2: Aggregate Prioritized Responses to Pressures	3
Figure 3: Prioritized Pressures by Class of User	5
Figure 4: IT Budget Process vs. Customer Satisfaction	8
Figure 5: IT Budget Process vs. IT Spend as a Percent of Revenue	9
Figure 6: IT Budget Process vs. Number of IT Vendors	9
Figure 7: Measurement Approach by Process Maturity	10
Figure 8: IT Budget Governance vs. Process Maturity	11
Figure 9: Barriers to IT Budget Improvement.....	12
Figure 10: Frequency of IT budget process measurements.....	13
Figure 11: Measurement Approach by Process Maturity	13
Figure 12: IT Budget Governance vs. Process Maturity	14
Figure 13: Company's Self-Assessments in IT Spend as a Percent of Revenue.....	16
Figure 14: IT Activities, Showing Candidate Service Levels	18

Tables

Table 1: IT Strategic Budget Challenges and Responses	6
Table 2: IT Strategic Budgeting Competitive Framework	7
Table 3: PACE (Pressures, Actions, Capabilities, Enablers).....	15
Table 4: PACE Framework.....	26
Table 5: Relationship between PACE and Competitive Framework.....	26
Table 6: Competitive Framework.....	27

Chapter One: Issue at Hand

Key Takeaways

- Cost pressures and user demand for new function can be simultaneously resolved with consistent business-relevant, firm-wide financial metrics for IT performance, linked to service-level-based cost recovery
- Consolidation (footprint, image, workload, and data) can substantially improve IT efficiency
- Outsourcing makes sense in a context of well-understood IT costs and end user priorities

This year saw continued cost pressures on IT budgets. Few organizations report IT spending increases, while many foresee cuts. IT spending as a percent of revenue, while varying dramatically by industry sector, is generally flat, with spending on information security growing as a proportion of total IT spend – only because other areas are experiencing cuts.

In response, many companies are considering a range of measures to control cost. Often outsourcing may provide efficient handling of some cost elements. But outsourcing in itself can mask problems rather than solve them. Consolidation can reduce cost, assuming that applications environments being consolidated are the right ones, and are properly aligned to begin with.

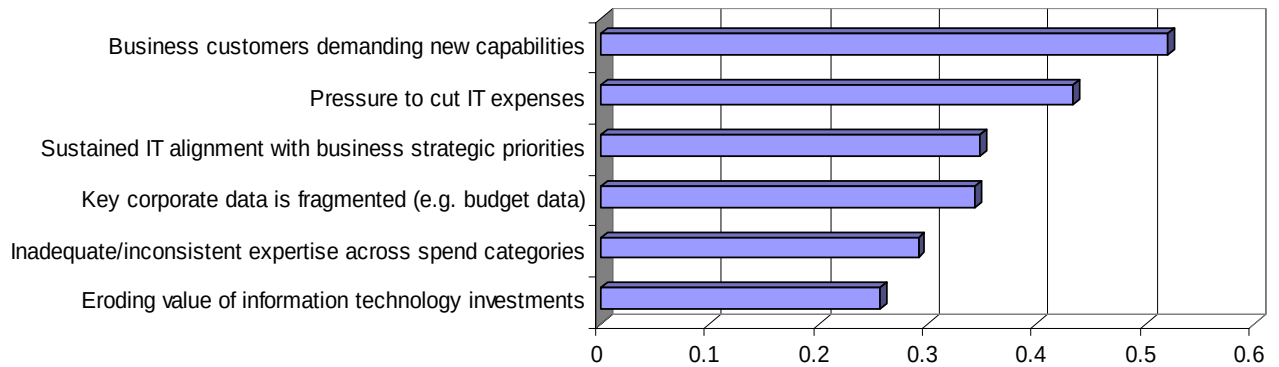
Cost pressures can represent more than financial challenges. Effective CIOs use cost controls to enable transformation, to accelerate consolidation, and to re-align IT with critical business strategic initiatives.

Cost pressure on IT is not new. The CIO of one global manufacturing firm remarked that in his 20+ years in the industry he could not recall a time when users were generally content with existing services and IT budgets were unconstrained. The core issue is to ensure that IT resources are managed to meet business requirements efficiently (cost) and effectively (alignment). Forces that tend to drive costs out of control (to be investigated in further work) include organizational overhead, hardware and software terms and conditions, changing workload mix, user reprioritization, vendor enticements, and muddled strategies. In the face of these forces, outsourcing can be a tempting escape route. Yet even outsourcing can fail to achieve its goals without proper oversight and planning.

The highest pressure CIOs face overall is users requiring new function (Figure 1). This result, an average of responses across all groups, is the right place to start to understand IT budget challenges. However, there are profound differences between classes of users and how that pressure is recognized and managed. Too often organizations react to requests for new function as disruptions to the existing plan. Too often organizations believe that if their operational budget plan is accepted the IT organization is aligned with the rest of the business. Too often these pressures are seen as conflicting and unmanageable. And too often the IT organization is not aligned. Overall, strategic alignment is the fifth priority item.



Figure 1: Overall Pressures Requiring IT Budget Attention



Source: Aberdeen Group, October 2004.

PACE Key — For more detailed description see Appendix A

Aberdeen applies a methodology to benchmark research that evaluates the business pressures, actions, capabilities, and enablers (PACE) that indicate corporate behavior in specific business processes. These terms are defined as follows:

Pressures — external forces that impact an organization's market position, competitiveness, or business operations

→ **Actions** — the strategic approaches that an organization takes in response to industry pressures

→ **Capabilities** — the business process competencies required to execute corporate strategy

→ **Enablers** — the key functionality of technology solutions required to support the organization's enabling business practices

Competitive Framework Key

The Aberdeen Competitive Framework defines enterprises as falling into one of the three following levels of practices and performance:

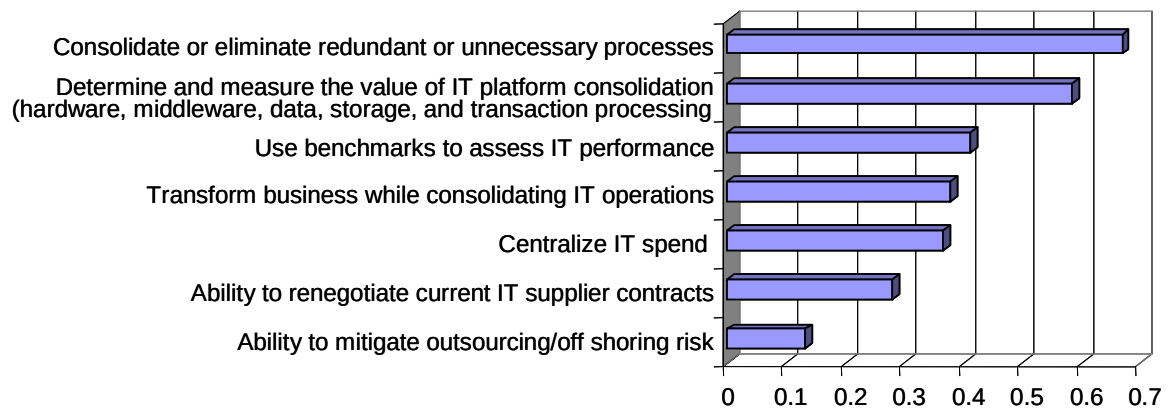
Laggards (30%) — practices that are significantly behind the average of the industry

Industry norm (50%) — practices that represent the average or norm

Best in class (20%) — practices that are the best currently being employed and significantly superior to the industry norm

Oddly, the highest priority response is not focused on supporting new customer demand, as seen in Figure 2. In fact, the highest priority actions, underlying required capabilities, and supporting technology enablers, are all focused on cost reduction. Only by segmenting responses by process maturity does a substantially different picture come to light.

Figure 2: Aggregate Prioritized Responses to Pressures



Source: Aberdeen Group, October 2004

By analyzing this apparent discontinuity in more depth, the data reveals a vast difference in IT budgeting approach between best-in-class firms and the remainder.



Chapter Two: Key Business Value Findings

Key Takeaways

- Enterprises see user demand as the largest pressure, yet the highest priority actions, prerequisite capabilities, and underlying enablers address cost reduction rather than enhanced functionality.
- Customer-focused actions – establishing customer-centric service levels and categorizing IT investments by business driver – are third and fourth priority, after consolidation and eliminating redundant IT processes
- IT portfolio management will allow enterprises to optimize scarce resources – but IT involvement with enterprise strategy, and business-centric service level measurements, are a prerequisite

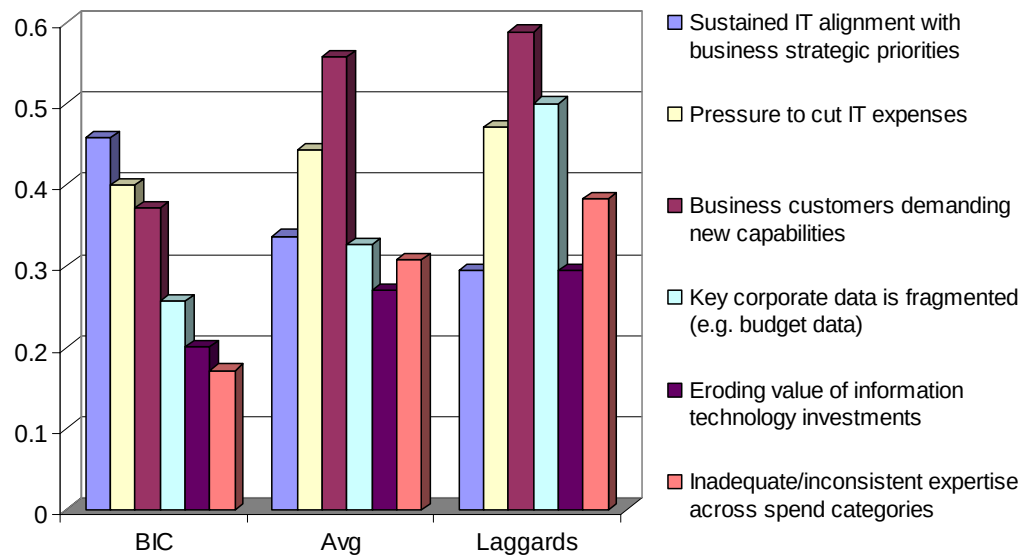
While IT organizations recognize that business requirements must come first, their highest priority actions are aligned not with meeting customer requirements but with controlling cost

The highest priority pressure enterprises report is demand for new capabilities. However responding to demand for new capabilities requires a robust and flexible IT infrastructure, along with continuing involvement with the business strategic planning processes. This should suggest that the IT project office or some analogous function should be also a high priority, since it is the component of the IT organization responsible for maintaining a presence in the strategic planning activities. However the IT project office is placed behind three activities, all cost-focused.

While it is possible to interpret these data to suggest that the IT organization is giving lip service to the pressure of customer requirements, a more careful reading of the data, supplemented by interviews with selected survey respondents, suggests that the disconnect is a serious and on-going dysfunctional response to that pressure. That is, the business expects the IT organization to manage its internal response to business pressures in the same way that other operational areas do; however the reality is that most IT organizations do not have the process maturity to deploy a comprehensive and effective response to the twin needs of the business: satisfy customers and control costs.

What is more striking is the shift in priorities among different populations as the data are sorted by best-in-class vs. the rest. In best-in-class firms, the actions, capabilities, and enablers are more closely aligned with responding to customer demand for new or enhanced functions. The difference is the degree of alignment within the IT organization: best-in-class IT organizations are distinctly effective in investing proportionately to support customer needs (Figure 3).

Figure 3: Prioritized Pressures by Class of User



Source: Aberdeen Group, October 2004.

Best-in-class firms prioritize the pressures they face quite differently from the rest. While most identify customer requirements as the largest pressure, for best-in-class firms that is in third place, behind sustaining IT alignment and watching expenses. This is not because Best in Class ignore customer requirements, but because they understand that by sustaining IT alignment they will be sure to meet the most crucial customer requirements as a normal part of doing business. Those instances where customer requirements arise - that are not aligned with overall business strategies will be rare. Also, the Best in Class see inadequate expertise (regarding IT budgeting) as a much lower priority concern than the rest. This again is not because best in class don't recognize this as a problem; rather, it is directly because best-in-class firms have solved that problem.

The lowest priority pressure is the erosion in value of aging technology. This is a key element of the IT life cycle, however little overt attention is paid to it. This fits oddly with the highest priority capability – centralized IT asset management. It is as though bits and pieces of effective cost control are assembled haphazardly alongside necessary elements of effective business support.

The differences between best-in-class firms and the rest appear across all industry sectors and all sizes of enterprise. This suggests that IT leadership is generally approaching the challenges in a piecemeal and uncoordinated fashion. There are significant opportunities to improve.



Outsourcing and off-shoring may not resolve cost or customer issues

Outsourcing is a tempting alternative if an IT organization seems to be unable to control its costs effectively. By determining which elements of the IT suite of capabilities are not strategic, the conventional wisdom goes, the IT organization can avail itself of the optimal cost service provider for those non-crucial services while focusing scarce resources on the most sensitive activities. This should allow the firm to build a barrier to entry by rapidly deploying crucial capabilities.

In some cases this situation is realized. But in other cases, the additional cost of oversight (within the outsourced organization) and the requirement for profitability (in the outsourcing organization) mean that the actual total cost is greater than the optimal cost for providing IT services within one organization. There is an optimal size for each instance of IT service delivery, but (as the recent J P Morgan Chase/IBM situation revealed) it may be within the reach of large organizations.

In many cases outsourcing is attractive not because it is lower in cost than the current IT operation, but because the cost of the current IT operation is not known or understood by the enterprise. A fixed price, even if higher than the current expense, may be preferable to simply not knowing.

Similarly, outsourcing sometimes promises better customer satisfaction than the current IT organization can achieve. However, the reality is too often that the IT organization does not know what its own customers actually want and need to fulfill their mission. Again, the cost of achieving a measurable customer satisfaction level, even if greater, may be preferable to not actually knowing if the end users are satisfied. In this discussion, we are using customer satisfaction in the formal sense of measurable conformance to requirements. By not knowing how satisfied customers are, the IT organization may be hard-pressed to explain how well aligned it is with its customers.

Table 1: IT Strategic Budget Challenges and Responses

Challenges	% Selected	Responses to Challenges	% Selected
Narrow definition of business value	65%	Consolidate or eliminate redundant or unnecessary processes	67%
Disconnect between service quality and funding sources	58%	Determine and measure the value of IT platform consolidation	60%
Lack of a mechanism to prioritize IT investments	57%	Use benchmarks to assess IT performance	41%
Locally owned process and data elements	36%	Transform business while consolidating IT operations	38%
Cultural conflict with outsourcing/off shoring	33%	Centralize IT spend	38%
Long-term contracts with key technology suppliers	32%	Ability to renegotiate current IT supplier contracts	29%

Source: Aberdeen Group, October 2004

Chapter Three: Implications & Analysis

Key Takeaways

- Best-in-class performers see the most significant challenge as sustaining alignment with business strategic priorities
- Best-in-class performers respond to the challenge by establishing customer-centric service levels based on business-relevant metrics
- The business value of IT can be reliably measured but not by IT-centric conventional measurements – the organization must develop business-relevant metrics for IT's contribution

As shown in Table 2, survey respondents fell into one of three categories – Laggard, Industry Average, or Best in Class — based on their characteristics in four key categories: (1) process (IT acquisition and lifecycle degree of standardization); (2) organization (degree of center-led purchasing governance); (3) knowledge (richness of build/buy/outsource strategy); and (4) technology (tools supporting consistent measurable governance).

Table 2: IT Strategic Budgeting Competitive Framework

	Laggards	Industry Average	Best in Class
Process	IT acquisition and life cycle ill-defined and owned by separate lines of business	Corporate IT lifecycle standards exist but numerous exceptions tolerated	Corporate IT lifecycle standardized enforced enterprise-wide
Organization	Fragmented purchase decisions	Division-based purchasing decisions	Centralized or center-led purchasing decisions
Knowledge	Buy everything and maintain/operate in house	Outsource legacy applications and datacenter operations, keep differentiating and new initiatives in house	Use a portfolio strategy that blends in-source/outsource, buy/ASP, etc.
Technology	Piecemeal locally governed acquisition and retirement	Some corporate governance and standards for core IT processes	Observable compliance with appropriate centralized standards for IT lifecycle, with formal review for requests for deviations from standards

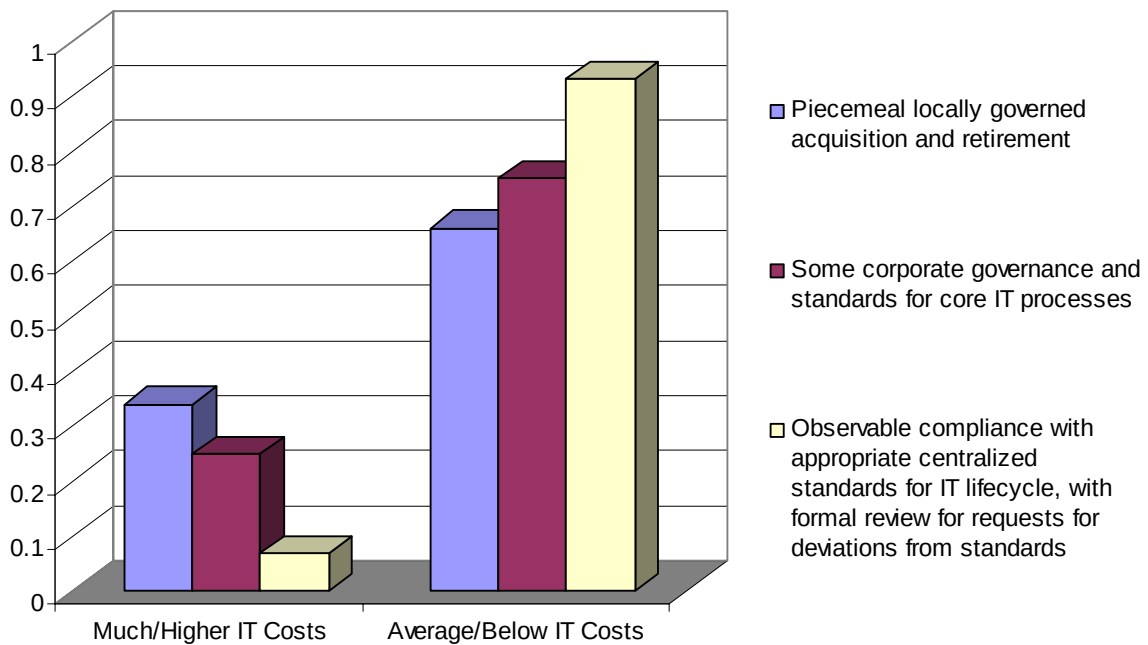


	Laggards	Industry Average	Best in Class
Performance Metrics	Ad hoc, problem-specific, if at all, no way to break down IT cost drivers	Some standard metrics used by division; mix of business and IT-centric measurements, governed by CIO (probably understands IT cost drivers, but not business value)	Leadership team attention to minimal but key set of business-relevant metrics developed with user executives (combine IT cost drivers with business value)

Source: Aberdeen Group, October 2004

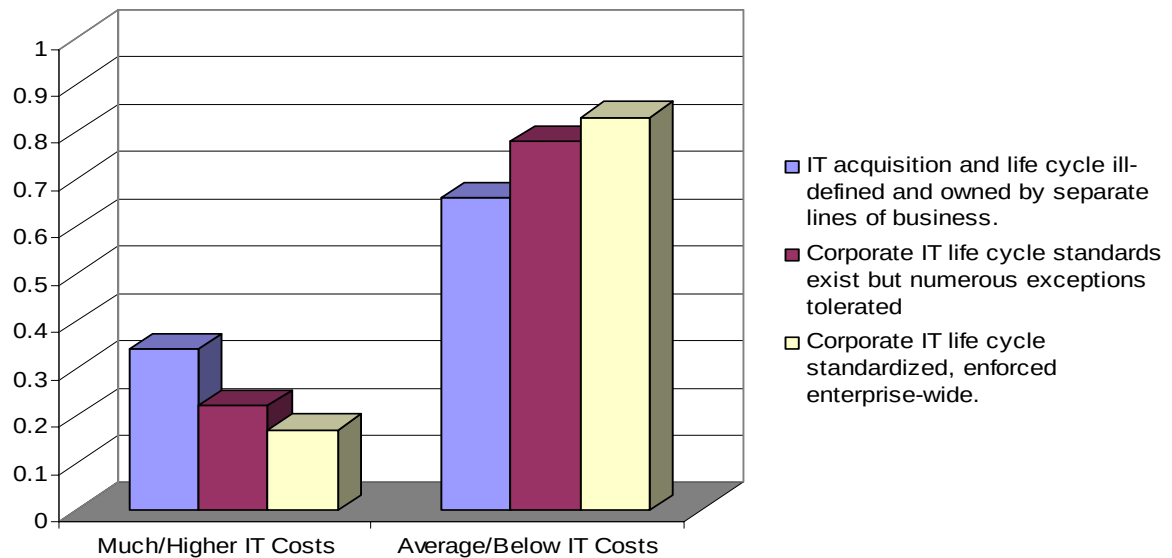
In each of these categories, survey results show that the firms exhibiting best-in-class IT budget characteristics also enjoy best-in-class customer satisfaction and IT spend as a percent of revenue (Figure 4 and Figure 5).

Figure 4: IT Budget Process vs. Customer Satisfaction



Source: Aberdeen Group, October 2004

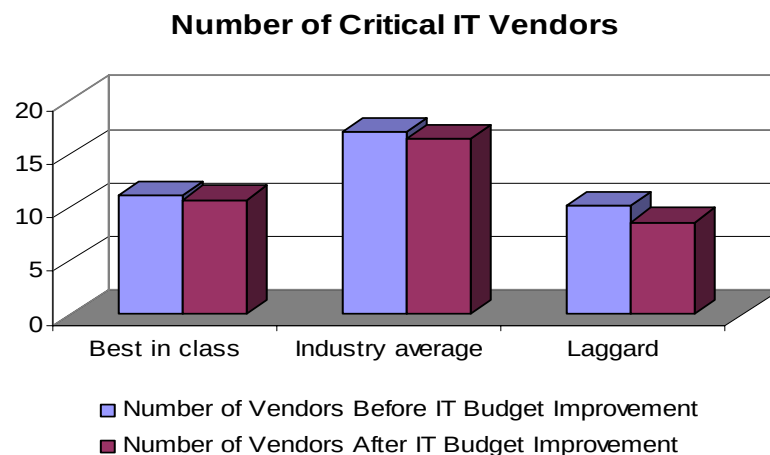
Figure 5: IT Budget Process vs. IT Spend as a Percent of Revenue



Source: Aberdeen Group, October 2004

The third indicator, number of IT vendors, did not correlate with any group. This suggests that its use as a key performance indicator may be inappropriate without a deeper understanding of the particular problems a firm faces. Across all groups there was an improvement in number of vendors following the adoption or enhancement of the IT budget process (Figure 6). Its use as a key performance indicator may help address cost issues, but it is not an indicator of the level of process maturity within IT organizations.

Figure 6: IT Budget Process vs. Number of IT Vendors



Source: Aberdeen Group, October 2004



Process and Organization

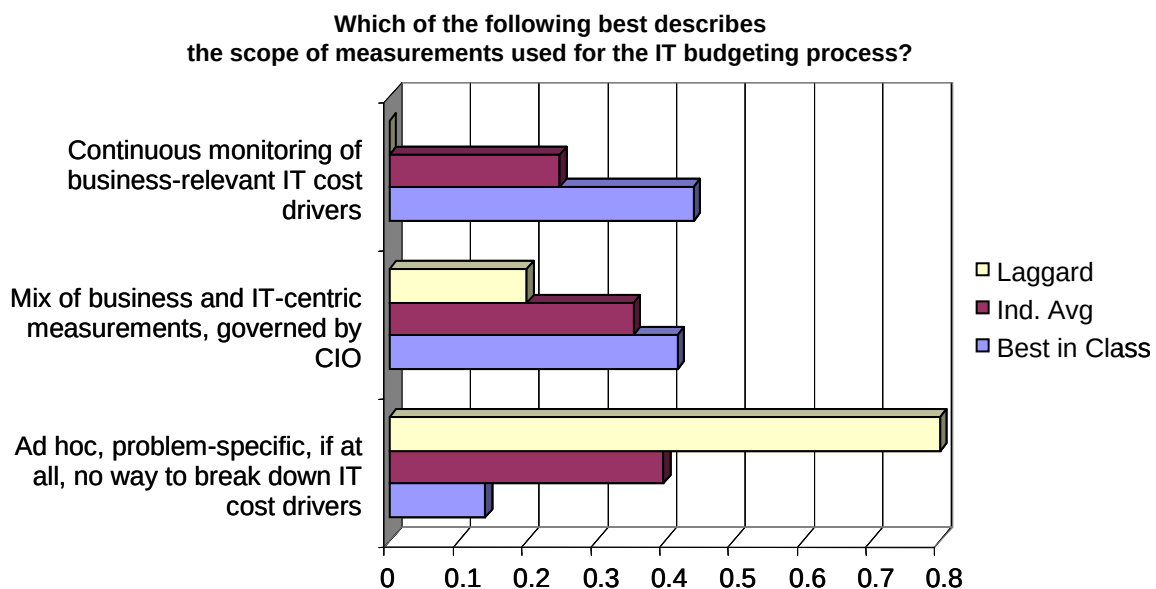
- In the process category, firms that explicitly measure their IT budget process achieve substantially better cost performance (measured as a percent of revenue) than the rest. Of course, such measurements of themselves do not guarantee improved cost performance any more than an accurate speedometer will ensure safe driving speeds. Such measurements are only meaningful in a context of ongoing management attention; absent such vigilance the measurements achieve no effective purpose.
- Those firms that achieve better-than-average IT spend as a percent of revenue are on the lookout for deviations from standards much more vigilantly than the rest. The recurring theme from survey respondents is that continuous, near-real time monitoring allows effective management of deviations and corrective action while tardy, post-hoc measurements (or the absence of rmonitoring at all) only allow for reporting, not corrective action.

Firms that explicitly measure and report on their IT budget process sustain higher levels of customer satisfaction

Technology Usage (Industry “Ah-ha”)

Across all polled industry categories, continuous monitoring is the hallmark approach of the best in class. (Figure 7). Laggards rely on ad-hoc measurements, denying the CIO and the firm any useful baseline measurements or proactive controls.

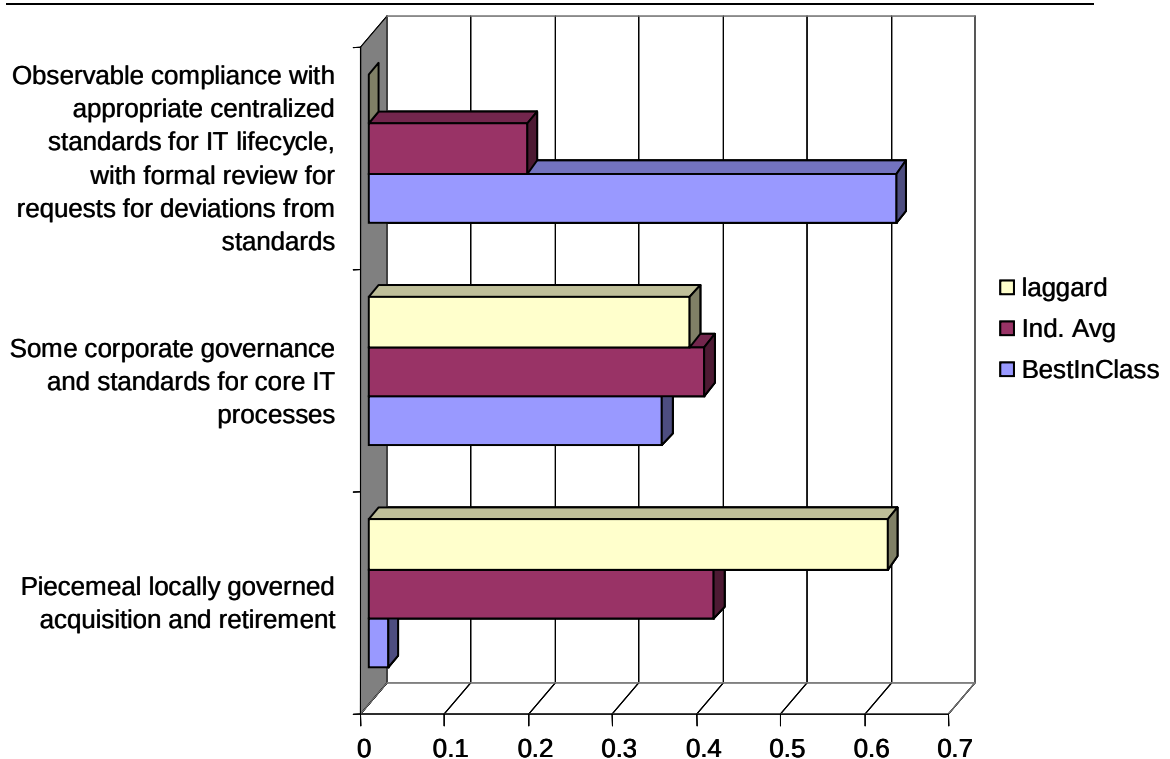
Figure 7: Measurement Approach by Process Maturity



Source: Aberdeen Group, October 2004

Similarly, leading organizations generally deploy standards-based IT budget methods and govern the IT lifecycle consistently firm-wide (Figure 8). Consistent, business-relevant service level metrics, financially designed to link business value to IT cost, are applied firm-wide in nearly two-thirds of all best-in-class firms, and in no firms identified as laggards.

Figure 8: IT Budget Governance vs. Process Maturity



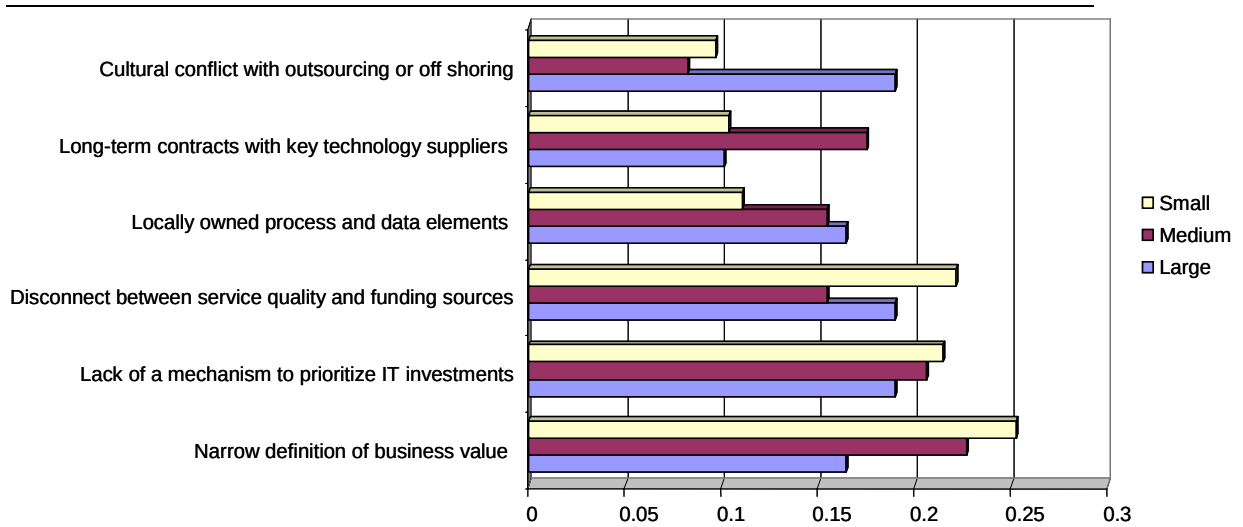
Source: Aberdeen Group, October 2004

Highly distributed organizations risk higher IT costs and lower customer satisfaction, although the frequent rationale for highly distributed IT organizations is that they can be closer to the customer. These organizations confuse one end user's requirements with the overall strategy of the firm. This is often a symptom of a wider divergence between the distributed units and the firm across the board: the IT organization is simply following the patterns set up by other functional strategies (hiring, purchasing, finance, legal, and the like). Such structures tend towards local optimization at the expense of overall governance. In such cases, outsourcing the IT function simply entrenches the discontinuity. A more appropriate, economically rational firm-level response might be to divest the business unit.

The barriers to budget pressures vary by company size, as Figure 9 shows.



Figure 9: Barriers to IT Budget Improvement



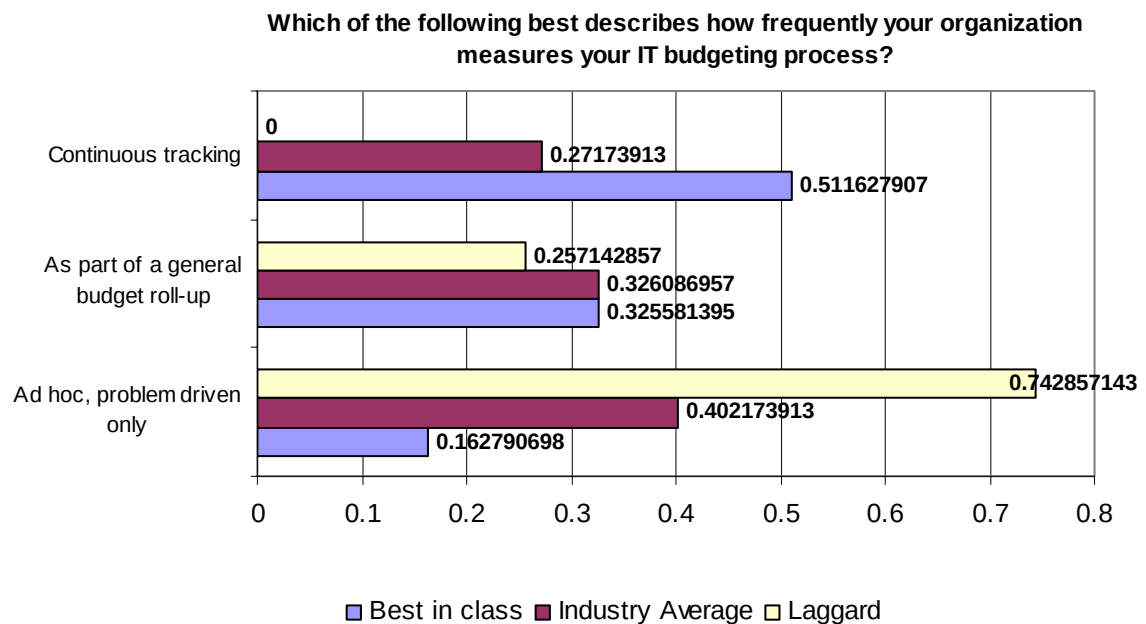
Source: Aberdeen Group, October 2004

The larger firms do express more concern about outsourcing and off-shoring than others, but there is not the same dramatic differences between organizations based on corporate size that more detailed analysis reveal there are between firms based on process maturity. In other words, the benefits of best-in-class performance are not restricted to the large (\$1B or greater annual revenue) firms: all can benefit from process improvements.

Leading organizations measure their processes continuously

Timely measurements allow for direct management and repair or dynamic adjustment. Late measurements or ad-hoc measurements are useful for reporting. Here the divergence between the laggards and the Best in Class is dramatic: laggards do not do continuous measurements, and best-in-class firms rarely use ad-hoc reporting techniques to understand their IT budgeting processes (Figure 10).

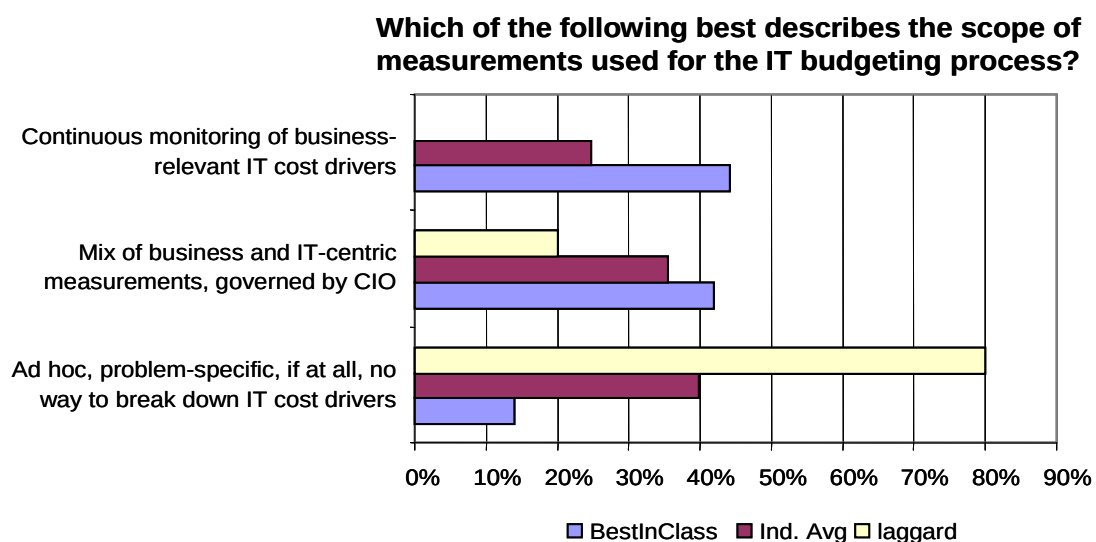
Figure 10: Frequency of IT budget process measurements



Source: Aberdeen Group, October 2004

Across all polled industry categories, continuous monitoring is the hallmark approach of the Best in Class. (Figure 11). Laggards rely on ad-hoc measurements, denying the CIO and the firm any useful baseline measurements or proactive controls.

Figure 11: Measurement Approach by Process Maturity

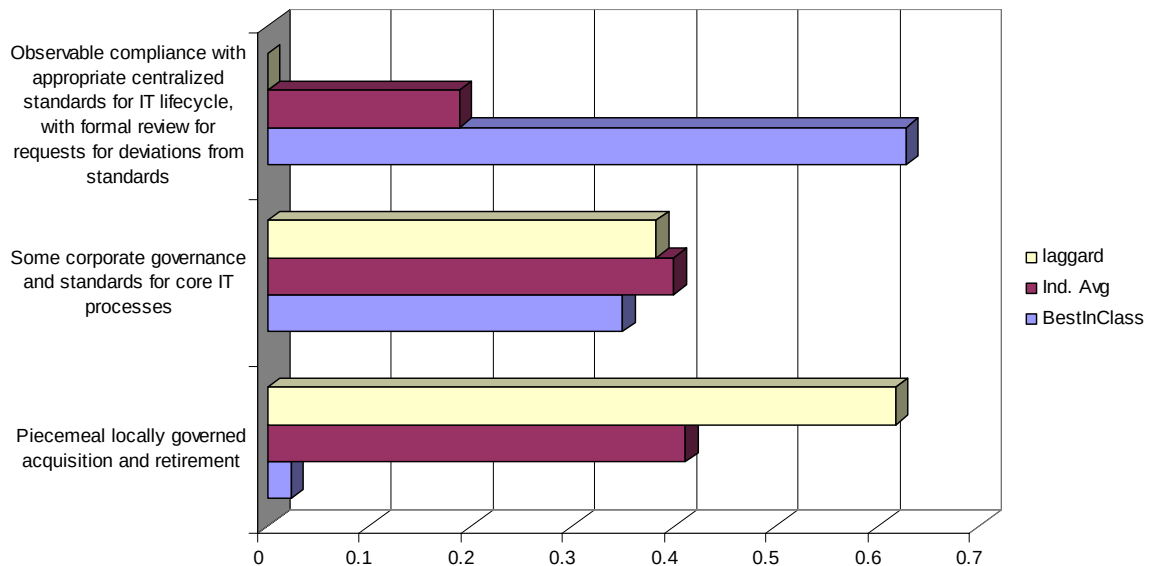


Source: Aberdeen Group, October 2004



Similarly, leading organizations generally deploy standards-based IT budget methods and govern the IT lifecycle consistently, firm-wide. (Figure 12)

Figure 12: IT Budget Governance vs. Process Maturity



Source: Aberdeen Group, October 2004

Highly distributed organizations risk higher IT costs and lower customer satisfaction, although the frequent rationale for highly distributed IT organizations is they can be closer to the customer. These organizations confuse one end user's requirements with the overall strategy of the firm. This is often a symptom of a wider divergence between the distributed units and the firm across the board: the IT organization is simply following the patterns set up by other functional strategies (hiring, purchasing, finance, legal, and the like). Such structures tend towards local optimization at the expense of overall governance. In such cases, outsourcing the IT function simply entrenches the discontinuity. A more appropriate, economically rational firm-level response might be to divest the business unit.

Pressures, Actions, Capabilities, Enablers (PACE)

We have shown that within their sector, each type of firm has a clear relationship between the pressures it identifies, the actions it takes, and its subsequent competitive performance. All firms should examine their prioritized PACE selections and determine whether there are valuable perspectives to be gleaned by comparison with the PACE priorities of best-in-class companies (Figure 3, above).

What is behind this increased focus and priority? Demanding customers. Enterprises ranked and user requirements as the strongest driving pressure behind their decisions to improve IT operations, in the context of Aberdeen's PACE (pressures, actions, capabilities, enablers) analytical framework (Table 4). Fifty-two percent of firms classified this pressure as a top priority overall.

Table 3: PACE (Pressures, Actions, Capabilities, Enablers)

Priorities	Prioritized Pressures	Prioritized Actions	Prioritized Capabilities	Prioritized Enablers
1	Business customers demanding new capabilities	Consolidate data and provide unified visibility	Eliminate multi-vendor support and integration through vendor consolidation	Select common transaction platforms, databases and reporting tools
2	Pressure to cut IT expenses	Eliminate redundant, non value adding IT costs	Centralized IT asset management	Comprehensive consistent financial controls
3	Key corporate data is fragmented	Establish customer-centric service levels	Business-relevant IT metrics	IT solutions with low TCO
4	Sustained IT alignment with business strategic priorities	Categorize IT investment by business drivers	Implement common application and data platforms for key data	IT project office
5	Inadequate or inconsistent expertise across spend categories	Free existing IT resources from maintaining/supporting existing IT solutions	Rationalize existing IT infrastructure	Select platform vendors with broad IT foot print
6	Eroding value of information technology investments	Govern IT life-cycle centrally	Service-level-based cost recovery	CobiT-style IT process model

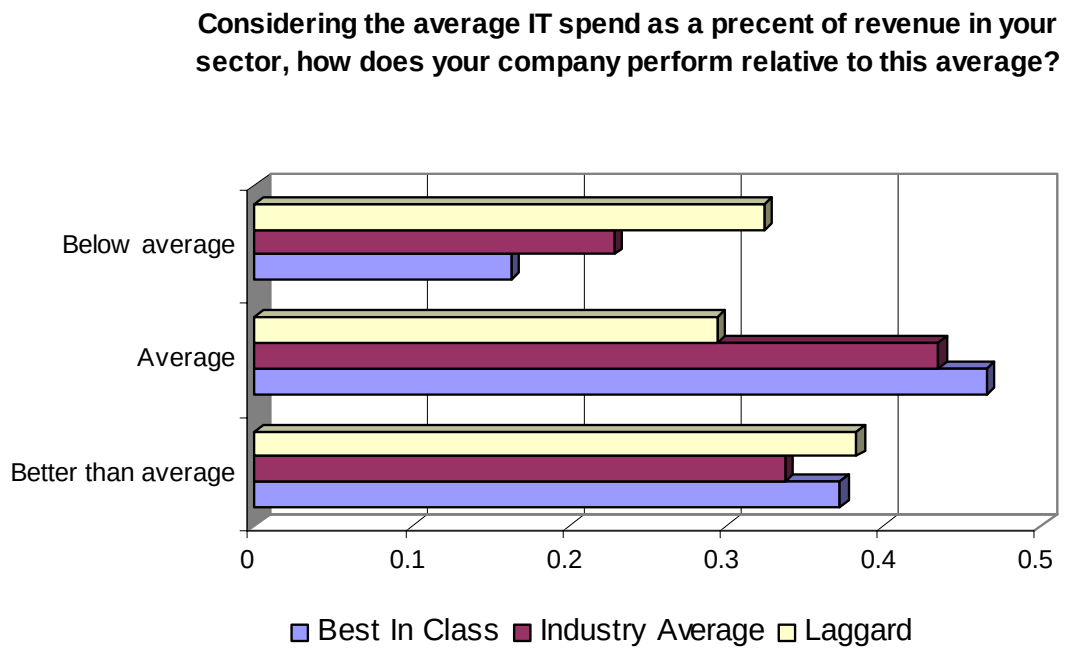
Source: Aberdeen Group, October 2004

The apparent contradictions between the highest aggregate pressure and the highest aggregate action result from the mixing of responses from the leaders, the laggards, and the average firms. The detailed analysis above (Chapter 2) clarifies the relationships between external pressures, resultant actions, required capabilities, and desired technological enablers.

And yet, best-in-class firms are modest – or very worried – about their position regarding possible competitors (Figure 13). This may be read as a demonstration that “only the paranoid survive” or as an assertion that effective benchmarking is not yet available for the crucial process of IT budget management.



Figure 13: Company's Self-Assessments in IT Spend as a Percent of Revenue



Source: Aberdeen Group, October 2004

Chapter Four: Recommendations for Action

Key Takeaways

- Leading IT organizations spend effort to understand overall corporate strategy, actual IT costs, and user requirements
- Leading IT organizations manage a portfolio of outsourced, in-sourced, and conventionally deployed IT capabilities to meet current and upcoming customer business needs
- Effective IT organizations generally spend 10% to 25% less than average organizations, across all measured industries, expressed as IT spend as a percent of revenue

Firms effectively budgeting their IT organization can achieve high levels of customer satisfaction, reduced IT spend, and fewer IT suppliers. The key is to have an integrated approach consisting of:

- Direct ongoing involvement with corporate strategic planning through an effective project office
- Consistent and understandable metrics for both cost and business value
- Ongoing awareness of customer requirements through activities such as service-level based cost recovery
- Centralized purchasing with overall priorities balanced against local needs
- Using a portfolio approach to balance external suppliers, outsourcers, in-sourcers, and conventional captive IT capabilities to deploy a robust, cost-effective IT infrastructure

Whether a company is trying to gradually move its IT budget performance from “Laggard” to “Industry Average,” or from “Industry Average” to “Best in Class,” the following actions will help drive the desired performance improvements:

Laggard Steps to Success

1. *Initiate consistent, regular, timely, firm-wide, customer-relevant measurement of IT spending and value*

Eliminating local or IT-focused measurements is not the goal. IT still needs to measure internal parameters such as bandwidth utilization or storage capacity to learn when a resource is low. Internal IT-centric measures should *not* be used for calibrating customer service levels or gauging customer satisfaction and alignment, or for cost recovery. Effective measures must be developed with the end user.

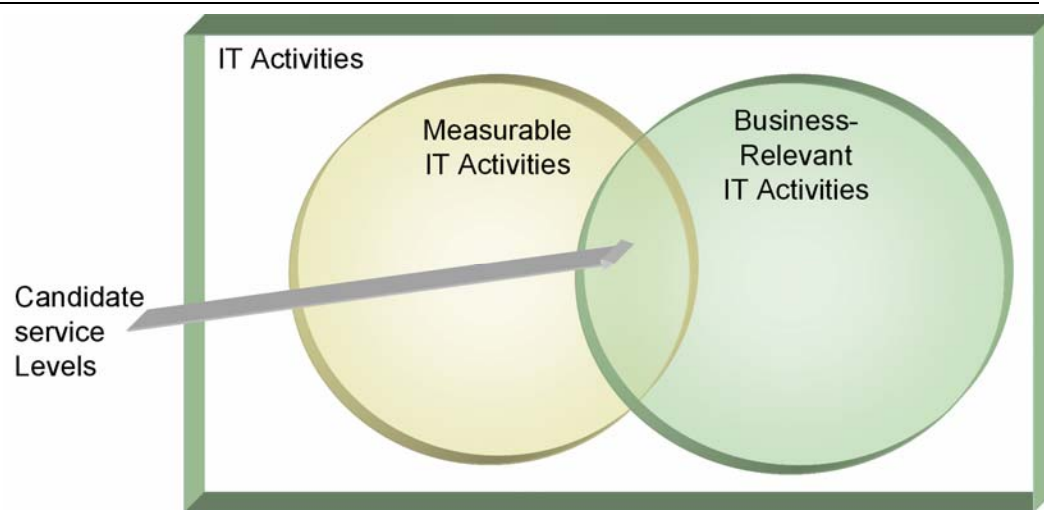


2. *Measure performance based on overall customer satisfaction*

Customer satisfaction is not intangible: it is the reason the IT organization exists. By knowing what customers want – in business terms – the IT organization becomes a valuable partner and contributor, and remains aligned.

In the universe of IT activities (Figure 15) there is a subset which is measurable by the IT organization. There is a separate subset which is relevant to the end user's business. Only those items that are both measurable and relevant can be used to measure customer satisfaction.

Figure 14: IT Activities, Showing Candidate Service Levels



Source: Aberdeen Group, October 2004

3. *Deploy cost recovery schemes based on customer satisfaction*

The level of customer satisfaction should determine the rate at which funding is granted to the IT organization. At this point, the firm needs to consider whether the IT organization should become a profit center. As a cost center, funded from a flat allocation, there is no true business incentive to remain aligned or even focused on customer requirements. As a profit center, the IT organization can over-recover costs for the following purposes: investment in IT infrastructure projects too broad for any user department to fund, possible rebates to user organizations that do not receive required service-level-based goals, and separation of general overhead activities (regulatory compliance initiatives, project office activities, information security spend, disaster recovery planning) that are not attributable to any one line of business.

Industry Norm Steps to Success

1. *Consolidate IT activities*

Consolidation has four levels: footprint, image, workload, and data/applications. Footprint consolidation means bringing multiple machines into one location, saving on the cost of physical facilities. Image consolidation means displacing multiple smaller machines and running the workloads on partitions in a single larger machine. The benefit comes from having to manage fewer physical machines. Workload consolidation means aggregating multiple workloads into one larger image. The benefit comes from having fewer instances of systems management tools and operational interfaces. The cost is making sure that the workloads are compatible. This can involve renaming files and programs, and developing consistent operational procedures. Finally, applications and data consolidation means reducing the variety and number of instances of a particular application or data item. The cost involves winnowing out multiple redundant data items and selecting one application vendor to run the business. The benefit is radically simplified maintenance, operational simplification, and responsiveness to changing business conditions (flexibility or more generally alignment).

2. *Adopt standards-based IT budget processes*

Any exceptions from the standard evaluation and purchasing methodology must be carefully scrutinized. If this critical component of the IT lifecycle can be brought under control, consistent and effective measurements will follow across the rest of the lifecycle. As long as subordinate organizations can locally optimize their purchase decisions, the larger organization will suffer complexity, inconsistent data, and structural uncertainty regarding its true budget effectiveness.

3. *Deploy service-level based cost recovery*

The elements of alignment are two: develop customer-centric, business-relevant metrics, and then sell those services at the price the customer is willing to pay. Improvements in service should be funded by the end users, since they are in the best position to value those services. By disintermediating the management hierarchy, the IT organization working with the customer base can best jointly define, price, and deliver the required level of support.

Best in Class Next Steps

1. *Manage the IT organization as a company within a company*

While few CIOs see themselves as subject to competition in a conventional sense, a broader definition demonstrates that IT organizations are subject to competitive forces, in the sense of Michael Porter's Five Forces established in Competitive Strategy (Porter, 1998). End users may solve problems for themselves; vendors can reach through the IT organization to offer solutions directly to end users; substitutes such as ASPs and MSSPs can displace conventionally delivered IT services; as can alternative solutions such as appliances. By viewing these broader sources of competitive force clearly, the CIO can effectively manage their tendency to drive the IT organization out of alignment with the firm's wider business goals.



We will examine this phenomenon in greater detail in future research in 2005.

2. *Sustain alignment with continuous process improvement*

Whenever an organization realizes that it is slipping out of alignment with its user base, it should update its metrics to capture the new, evolving business-relevant metrics driving the end users to alternative solutions. Regular surveys and on-going involvement with projects, both through a proactive IT project office and a Chief Technology Officer, can support this alignment initiative.

Sustaining alignment is the prime pressure facing leading IT organizations. With sustained innovation, careful listening, and diligent focus, CIOs can maintain their leadership role within the firm – and support the firm's leadership position in its chosen industry.

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Bill is Vice President of Technology Research for Aberdeen Group, Boston, Mass. His charter is the CIO Agenda, an ongoing research area looking at internal and external business drivers that will impact the CIO's plans, economics, and strategic priorities.

Prior to joining Aberdeen in August, 2004, Bill was Sun's Director of Security Marketing, a position he assumed upon Sun's acquisition of Waveset, where Bill was Chief Technology Officer. In 2002, Bill was a Senior Director in KPMG LLP's Risk and Advisory Services practice. He worked at Gartner from 1990 through 2001, most recently as a Vice President and Research Area Director. Entering Information Technology in 1974 as an applications developer at the John Hancock Insurance Co., Bill wrote COBOL payroll code and later worked as an MVS systems programmer. Bill joined IBM in 1978 and worked in Poughkeepsie, White Plains, and Somers for 12 years. He played key roles in development, testing, business planning, and strategic planning for IBM's high-end operating systems.

Mr. Malik attended the Massachusetts Institute of Technology, majoring in mathematics.

Appendix A: Research Methodology

Between September and October 2004, Aberdeen Group and *InformationWeek* magazine examined the IT budget procedures, experiences, and intentions of more than 170 enterprises in over a dozen major industrial sectors..

Responding executives completed an online survey that included questions designed to determine the following:

- How do leading firms manage their IT budget
- Key elements of effective IT cost management
- Current and planned IT cost management approaches

Aberdeen supplemented this online survey effort with telephone interviews with select survey respondents, gathering additional information on IT budget strategies, experiences, and results.

The study aimed to identify emerging best practices for IT budgeting and provide a framework by which readers could assess their own IT budget capabilities.

Responding enterprises included the following:

- **Job title/function:** The research sample included respondents with the following job titles: CxO (25%); Vice President (4%); Director or Manager (37%); internal consultant (9%), and staff (25%).
- **Industry:** The research sample included respondents predominantly from information technology firms. High-tech and software manufacturers represented 12% of the sample, followed closely by education, which accounted for 11% of respondents, and computer equipment and peripherals, also 11%. The public sector totaled 10% of respondents. Aerospace, finance, banking, insurance, health, medical and dental, medical equipment, construction/engineering, publishing and media, and retail and distribution also participated.
- **Geography:** Nearly all study respondents were from North America, including 92% from the U.S. alone. Remaining respondents were from the United Kingdom and the Asia-Pacific region.
- **Company size:** About 16% of respondents were from large enterprises (annual revenues above US\$1 billion); 21% were from midsize enterprises (annual revenues between \$50 million and \$1 billion); and 63% of respondents were from small businesses (annual revenues of \$50 million or less).

Solution providers recognized as sponsors of this report were solicited after the fact and had no substantive influence on the direction of the report.



Table 4: PACE Framework

PACE Key	
Aberdeen applies a methodology to benchmark research that evaluates the business pressures, actions, capabilities, and enablers (PACE) that indicate corporate behavior in specific business processes. These terms are defined as follows:	
	<i>Pressures</i> — external forces that impact an organization's market position, competitiveness, or business operations (e.g., economic, political and regulatory, technology, changing customer preferences, competitive)
	→ <i>Actions</i> — the strategic approaches that an organization takes in response to industry pressures (e.g., align the corporate business model to leverage industry opportunities, such as product/service strategy, target markets, financial strategy, go-to-market, and sales strategy)
	→ <i>Capabilities</i> — the business process competencies required to execute corporate strategy (e.g., skilled people, brand, market positioning, viable products/services, ecosystem partners, financing)
	→ <i>Enablers</i> — the key functionality of technology solutions required to support the organization's enabling business practices (e.g., development platform, applications, network connectivity, user interface, training and support, partner interfaces, data cleansing, and management)

Table 5: Relationship between PACE and Competitive Framework

PACE and Competitive Framework How They Interact
Aberdeen research indicates that companies that identify the most impactful pressures and take the most transformational and effective actions are most likely to achieve superior performance. The level of competitive performance that a company achieves is strongly determined by the PACE choices that they make and how well they execute.

Table 6: Competitive Framework

Competitive Framework Key
The Aberdeen Competitive Framework defines enterprises as falling into one of the three following levels of IT budget practices and performance: <i>Laggards (30%)</i> — IT budget practices that are significantly behind the average of the industry, and result in below average performance. <i>Industry norm (50%)</i> — IT budget practices that represent the average or norm, and result in average industry performance. <i>Best in class (20%)</i> — IT budget practices that are the best currently being employed and significantly superior to the industry norm, and result in the top industry performance.



Appendix B: **Related Aberdeen Research & Tools**

Related Aberdeen research that forms a companion or reference to this report include:

- *Automating Information Access: A Benchmark Report*
- *Corporate Performance Management Benchmark Report*

Information on these and any other Aberdeen publications can be found at www.aberdeen.com, via e-mail at memberservices@aberdeen.com, or by calling 617 723-7890.

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